

changing. I quoted Bertrand Russell one time, saying, ‘Most men would rather die than think. Many have.’ And in a financial sense, that’s very true.”

In the 20 years since I wrote *The Warren Buffett Way*, the noise in the stock market has continued to rise. And just when you think it can’t get any louder, it turns into a deafening screech. Television commentators, financial writers, analysts, and market strategists are over-talking each other, all vying for investors’ attention. The Internet is an information marvel. Everyone agrees. But it has also given free access, or should I say a free platform, to anyone with a financial opinion. As a result, we are all awash in financial advice.

Yet, despite an avalanche of information, investors continually struggle to earn a profit. Some are hard-pressed to even continue. Stock prices skyrocket for little reason, then plummet just as quickly. People who have turned to the stock market to invest for their children’s education or even their own retirement are bewildered. There appears to be neither rhyme nor reason to the market, only folly.

Far above the market madness stand the wisdom and counsel of Warren Buffett. In an environment that seems to favor the speculator over the investor, Buffett’s advice has proven, time and again, to be a safe harbor for millions of lost investors. Occasionally misaligned investors will yell out, “But it’s different this time!” and occasionally they will be right. Politics springs surprises, the economy reacts, and the stock market reverberates in a slightly different tone. New companies are born while others mature. Industries evolve and adapt. Change is constant, but the investment principles outlined in this book have endured. “That is why they are called principles,” Buffett once quipped.

Here is a succinct and powerful lesson from the 1996 annual report: “Your goal as an investor should be simply to purchase, at a rational price, a part interest in an easily understood business whose earnings are virtually certain to be materially higher, five, ten, and twenty years from now. Over time, you will find only a few companies that meet those standards—so when you see one that qualifies, you should buy a meaningful amount of stock.”